

Question:

A distributor agrees to sell 100 tubes of growth hormone to a medical treatment center in exchange for \$30,000. The contract has many clauses, including one that prohibits generally the assignment of the contract or any of its terms. The distributor assigns its right to receive the funds anyway. Will a court enforce the bar against assignment under these circumstances?

Answer Choices:

- A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated.
- B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds.
- C. No, a bar of assignment can only be enforced if it is notarized and legally binding.
- D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated.
- E. Yes, a contractual provision prohibiting assignments is enforceable in all respects.
- F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds.
- G. No, a bar of assignment is an unconstitutional deprivation of due process.
- H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract.
- I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business.
- J. Yes, a contractual provision prohibiting assignments is enforceable unless it contradicts federal law.

Reasoning + Answer:

<tool_call> reasoning process here

The key issue in this question is whether a contractual provision that prohibits assignment applies to the right to receive payment (i.e., the right to receive \$ 30 , 000), even though the assignment is of the right to receive funds .

In contract law , a general prohibition against assignment typically applies to the rights and obligations of the parties under the contract . However , courts often recognize that the right to receive money (a monetary obligation) is not necessarily " assignable " in the same way as the right to perform or receive services . In particular , the right to receive payment is often considered a " right to receive money , " which is generally not subject to assignment restrictions unless explicitly prohibited .

Moreover , under the principle of " right to receive payment , " courts generally hold that the right to receive money (especially in a commercial contract) is not subject to assignment restrictions unless the contract explicitly provides for such a bar . This is because the right to receive funds is a fundamental aspect of the contractual obligation , and allowing assignment of that right is often seen as necessary for the practical performance of the contract .

Further , in many jurisdictions , a general prohibition against assignment is not enforceable if it prevents the performance of the contract or if it inhibits the practical operation of the contract . In this case , the distributor assigns its right to receive funds , which may be necessary to facilitate the transaction or to allow the distributor to manage its financial obligations .

Thus , the bar against assignment would not be enforceable if it prevents the distributor from receiving payment âĖĶ especially if that would inhibit the completion of the contract or if the assignment is necessary for performance .

The correct answer must reflect that a bar against assignment is not enforceable if it prevents the distributor from receiving payment or if it interferes with the performance of the contract .

Looking at the answer choices :

A . No , a bar of assignment does not apply to the right to receive the funds unless specifically stated . âĖĶ This is consistent with contract law principles that the right to receive money is not generally assignable unless explicitly barred .

B . Yes , unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds . âĖĶ Incorrect , because this would imply the bar applies unless stated otherwise , which contradicts the principle that the right to receive funds is not generally assignable .

C . No , a bar of assignment can only be enforced if it is notarized and legally binding . âĖĶ Incorrect ; notarization is not a requirement for enforceability of assignment restrictions .

D . Yes , a bar against the right to receive proceeds is a favored restriction unless otherwise stated . âĖĶ Incorrect ; such bars are not favored ; they are often unenforceable .

E . Yes , a contractual provision prohibiting assignments is enforceable in all respects . âĖĶ Incorrect ; courts do not enforce general assignment restrictions if they prevent performance .

F . Yes , a bar of assignment applies to all aspects of the contract , including the right to receive funds . âĖĶ Incorrect ; courts generally do not enforce such bars when they interfere with performance .

G . No , a bar of assignment is an unconstitutional deprivation of due process . âĖĶ Incorrect ; this is not a recognized legal principle in contract law .

H . No , a bar of assignment is unenforceable if it inhibits the completion of the contract . âĖĶ This is correct in principle : courts often will not enforce assignment restrictions that prevent performance or completion of the contract .

I . No , a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business . âĖĶ Incorrect ; this is not a recognized legal